

THE NATIONAL TREASURY

BUDGET SUMMARY FOR THE FISCAL YEAR 2026/27 BUDGET AND SUPPORTING INFORMATION AND DOCUMENTS

APRIL 30, 2026

generations. The Fund will serve as a strategic fiscal anchor, ensuring that Kenya's natural resource wealth is managed prudently, invested productively, and spread equitably to both current and future generations and in effect, operationalizing Article 201 of the Constitution on intergenerational equity.

B. Fiscal Policy Framework for the FY 2026/27 and the Medium-Term Budget

27. The fiscal policy for FY 2026/27 and the medium term will be anchored on a growth-supportive consolidation strategy that advances the Government's priorities under Bottom - Up Economic Transformation Agenda (BETA) and the Fourth Medium Term Plan. The policy will also integrate the Government's emerging initiatives in human capital development, agricultural transformation, energy, and transport and logistics. This approach is intended to slow the pace of public debt accumulation, strengthen debt sustainability, and support the implementation of a proactive liability-management framework, while safeguarding the quality of public services. Fiscal consolidation efforts will prioritize enhanced domestic revenue mobilization, rigorous expenditure optimization and reprioritization, and protection of essential government programs and social interventions.

28. In line with the fiscal consolidation plan, the overall fiscal deficit is projected to gradually decline from 5.3 percent of GDP in the FY 2026/27 to 3.6 percent of GDP in the FY 2027/28 and further to 3.3 percent of GDP in the FY 2028/29. This will strengthen the country's debt position and ensure the country's development agenda is sustainably funded.

29. In the FY 2026/27 budget, total revenues including Appropriation-in-Aid (A-i-A) are projected at KSh 3,629.7 billion (17.4 percent of GDP) from KSh 3,399.1 billion (18.2 percent of GDP) in the FY 2025/26 **(Table 2)**. Of this, ordinary revenue is projected at KSh 2,985.7 billion (14.3 percent of GDP) from KSh 2,784.4 billion (14.9 percent of GDP) in the FY 2025/26.

30. Over the medium term, as a percent of GDP, the Government's total revenue including AiA is projected to increase from 17.4 percent of GDP in the FY 2026/27 to 17.5 percent of GDP in the FY 2027/28 and moderate to 16.9 percent of GDP in the FY 2028/29. Of the total revenue, ordinary revenue is projected to increase from 14.3 percent of GDP in the FY 2026/27 to 14.7 percent of GDP in the FY 2027/28 and moderate to 14.3 percent of GDP in the FY 2028/29.

31. The overall expenditures and net lending are projected at KSh 4,785.2 billion (23.0 percent of GDP) in the FY 2026/27 from KSh 4,638.4 billion (24.9 percent of GDP) in the FY 2025/26. The FY 2026/27 comprises: recurrent expenditure of KSh 3,538.7 billion (17.0 percent of GDP); development expenditure of KSh 749.0 billion (3.6 percent of GDP); transfers to County Governments of KSh 495.5 billion and Contingency Fund of KSh 2.0 billion, respectively.

32. Total expenditure is projected to decrease from 23.0 percent of GDP in the FY 2026/27 to 21.3 percent of GDP in the FY 2027/28 to 20.4 percent of GDP in the FY 2028/29. Of the total expenditures, recurrent expenditure is projected to decline from 17.0 percent of GDP in the FY 2026/27 to 15.4 percent of GDP in the FY 2027/28 and further to 14.5 percent of GDP in the FY 2028/29 while development expenditure is expected to rise from 3.6 percent of GDP in the FY 2026/27 to 3.8 percent of GDP in the FY 2027/28 and 4.1 percent of GDP in the FY 2028/29.

33. Consistent with the projected expenditures and revenues, the fiscal deficit including grants is projected at KSh 1,111.8 billion (5.3 percent of GDP) in the FY 2026/27 budget compared to the projected fiscal deficit of KSh 1,199.4 billion (6.4 percent of GDP) in the FY 2025/26. The fiscal deficit in the FY 2026/27 will be financed by a net external financing of KSh 116.2 billion (0.6 percent of GDP) and a net domestic financing of KSh 995.7 billion (4.8 percent of GDP).

Annex Table 2a: Fiscal Framework (KSh billion)

	2023/24	2024/25	2025/26		2026/27		2027/28		2028/29		2029/30	
	Act.	Prel.	Budget	Suppl.1	Approved BPS 2026	Budget	BROP 2025	BPS 2026	BROP 2025	BPS 2026	BROP 2025	BPS 2026
TOTAL REVENUE	**2,702.7**	**2,923.6**	**3,321.7**	**3,399.1**	**3,534.2**	**3,629.7**	**4,044.3**	**4,038.9**	**4,368.4**	**4,337.2**	**4,697.1**	**4,699.5**
Ordinary Revenue (Tax+Non-Tax Revenue)	2,288.9	2,420.2	2,754.7	2,784.4	2,901.9	2,985.7	3,387.9	3,390.0	3,655.8	3,658.0	3,955.2	3,957.6
Tax Revenue	2,167.8	2,272.4	2,627.1	2,600.8	2,827.8	2,858.7	3,096.8	3,099.0	3,371.8	3,374.0	3,703.1	3,705.5
Income Tax	1,042.8	1,093.0	1,284.8	1,266.8	1,366.9	1,383.6	1,484.9	1,484.9	1,619.2	1,619.2	1,775.5	1,775.5
Import duty (net)	133.9	157.1	162.9	167.0	186.2	186.2	191.8	194.0	203.2	205.4	217.6	220.0
Excise duty	276.7	292.5	335.5	323.1	356.9	382.2	397.0	397.0	440.5	440.5	488.8	488.8
Value Added Tax	645.5	660.7	771.7	771.7	840.4	829.2	941.3	941.3	1,021.0	1,021.0	1,127.6	1,127.6
Other Tax Revenue	68.9	69.1	72.2	72.2	77.4	77.4	81.9	81.9	87.9	87.9	93.6	93.6
Non-Tax Revenue	121.1	147.8	127.6	183.6	74.1	127.1	291.1	291.1	284.0	284.0	252.1	252.1
Ministerial Appropriation in Aid	**413.7**	**503.4**	**566.9**	**614.6**	**632.4**	**644.0**	**656.4**	**648.9**	**712.6**	**679.2**	**741.8**	**741.8**
Railway Development Levy	32.0	36.8	*40.7*	*47.1*	*48.5*	*48.5*	*49.7*	*49.7*	*54.9*	*54.9*	*60.7*	*60.7*
African Union & Int't Subscription Fund	5.4	5.2	*6.6*	*6.6*	*6.4*	*9.7*	*7.0*	*7.0*	*7.8*	*7.8*	*8.6*	*8.6*
Recurrent	259.5	199.7	*231.9*	*255.6*	*246.7*	*270.8*	*268.8*	*261.3*	*295.5*	*262.1*	*297.5*	*297.5*
Road Maintenance Levy - Normal		73.3	*70.2*	*70.2*	*84.1*	*62.8*	*88.7*	*88.7*	*93.5*	*93.5*	*98.5*	*98.5*
NMS - Recurrent	0.0	22.5	*25.5*	*25.5*	*25.3*	*22.0*	*26.6*	*26.6*	*28.1*	*28.1*	*29.7*	*29.7*
PDL - Recurrent	22.0	42.4	*45.1*	*62.6*	*58.5*	*78.8*	*59.1*	*59.1*	*61.9*	*61.9*	*60.0*	*60.0*
NMS - Development	0.0	14.1	14.4	*14.4*	15.1	*7.0*	*15.9*	15.9	16.6	16.6	17.5	*17.5*
PDL - Development	2.3	32.2	32.0	32.0	33.1	32.7	34.9	34.9	36.7	36.7	38.7	*38.7*
Housing Development Levy	54.2	73.2	95.0	*95.0*	110.9	*110.0*	*101.6*	101.6	113.3	113.3	126.4	*126.4*
EXPENDITURE AND NET LENDING	**3,605.2**	**3,975.9**	**4,269.9**	**4,638.4**	**4,715.5**	**4,785.2**	**4,969.7**	**4,931.4**	**5,304.6**	**5,241.6**	**5,580.9**	**5,662.3**
Recurrent expenditure	2,678.4	2,948.4	3,134.1	3,393.2	3,464.6	3,538.7	3,607.4	3,569.0	3,775.3	3,712.3	3,946.8	4,018.3
Interest payments	840.7	995.1	1,097.7	1,126.5	1,203.1	1,254.2	1,234.3	1,203.4	1,261.3	1,231.8	1,198.3	1,269.8
Domestic interest	622.5	784.1	851.4	883.8	956.4	986.7	984.4	953.5	1,008.0	978.5	950.8	1,022.3
Foreign Interest	218.2	211.0	246.3	242.8	246.6	267.5	249.9	249.9	253.2	253.2	247.5	247.5
Pensions & Other CFS	143.9	176.8	205.2	205.6	207.5	207.5	218.7	218.7	224.0	224.0	232.1	232.1
Pensions	140.6	172.9	200.5	200.5	202.4	202.4	213.9	213.9	219.3	219.3	227.2	227.2
Other CFS	3.3	3.9	4.7	5.2	5.1	5.2	4.7	4.7	4.7	4.7	5.0	5.0
Contribution to Civil Service Pension Fund	34.2	34.3	34.4	34.4	39.6	39.6	40.8	40.8	42.0	42.0	43.7	43.7
Net Issues/Net Expenditure	1,372.7	1,441.5	1,462.5	1,668.6	1,652.0	1,672.1	1,722.4	1,722.4	1,823.2	1,823.2	2,038.5	2,038.5
O/W: Wages & Salaries	575.3	624.7	657.3	689.3	720.7	702.0	752.4	752.4	790.0	790.0	829.5	829.5
Free Secondary education	70.2	54.6	54.9	54.9	54.6	54.6	79.1	79.1	82.3	82.3	82.3	82.3
Free Primary Education	11.3	30.4	7.9	7.9	7.0	7.0	14.7	14.7	15.3	15.3	15.3	15.3
Junior Secondary School - Capitation	30.5	7.6	30.9	30.9	31.9	31.9	41.5	41.5	43.1	43.1	43.1	43.1
IEBC	4.6	3.9	5.9	5.9	20.7	20.7	16.4	16.4	29.2	29.2	29.2	29.2
Defense and NIS	205.4	231.4	241.0	264.1	283.9	289.8	251.1	291.0	257.4	298.2	263.8	263.8
Others	475.9	465.6	439.0	570.3	502.4	535.2	529.7	489.8	568.3	527.5	737.7	737.7
Ministerial Recurrent AIA	286.9	300.8	334.3	358.0	362.5	365.3	391.2	383.7	424.9	391.4	434.2	434.2
Development and Net lending	**546.4**	**582.9**	**649.0**	**758.4**	**753.4**	**749.0**	**883.8**	**883.8**	**1,041.2**	**1,041.2**	**1,119.7**	**1,129.7**
Domestically financed (Gross)	377.0	397.7	437.9	548.3	514.2	561.5	580.2	580.2	676.7	676.7	759.6	759.6
O/W Domestically Financed (Net)/NMS	250.2	227.3	237.2	323.6	274.0	315.6	349.9	349.9	425.7	425.7	490.7	490.7
Ministerial Development AIA	197.2	170.4	200.7	224.7	236.8	246.0	230.3	230.3	251.1	251.1	269.0	269.0
Foreign financed	151.9	165.6	201.5	202.6	224.1	177.8	285.0	285.0	341.9	341.9	336.9	346.9
Net lending	17.4	19.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Equalization Fund	0.0	0.0	9.6	7.6	15.2	9.6	18.6	18.6	22.6	22.6	23.1	23.1
County Tranfers	**380.4**	**444.6**	**484.8**	**484.8**	**495.5**	**495.5**	**473.5**	**473.5**	**483.0**	**483.0**	**509.4**	**509.4**
Equitable Share	354.6	418.3	415.0	415.0	420.0	420.0	440.9	440.9	450.4	450.4	476.7	476.7
Conditional Allocation	25.8	26.3	69.8	69.8	75.5	75.5	32.7	32.7	32.7	32.7	32.7	32.7
Contingency Fund	**0.0**	**0.0**	**2.0**	**2.0**	**2.0**	**2.0**	**5.0**	**5.0**	**5.0**	**5.0**	**5.0**	**5.0**
Fiscal Balance *(commitment basis excl. grants)*	**-902.5**	**-1,052.4**	**-948.2**	**-1,239.4**	**-1,181.3**	**-1,155.5**	**-925.5**	**-892.5**	**-936.1**	**-904.4**	**-883.8**	**-962.9**
Grants	**22.0**	**33.3**	**47.2**	**39.9**	**54.4**	**43.6**	**58.8**	**58.8**	**67.1**	**67.1**	**77.1**	**77.1**
Fiscal Balance *(incl. grants)*	**-880.5**	**-1,019.1**	**-901.0**	**-1,199.4**	**-1,126.9**	**-1,111.8**	**-866.6**	**-833.7**	**-869.1**	**-837.3**	**-806.7**	**-885.8**
Fiscal Balance *(cash basis incl. grants) Exl. SGR*	**-880.5**	**-1,019.1**	**-901.0**	**-1,199.4**	**-1,126.9**	**-1,111.8**	**-866.6**	**-833.7**	**-869.1**	**-837.3**	**-806.7**	**-885.8**
Adjustment to Cash Basis	45.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Fiscal Balance *(incl. grants) Cash Basis*	**-835.1**	**-1,019.1**	**-901.0**	**-1,199.4**	**-1,126.9**	**-1,111.8**	**-866.6**	**-833.7**	**-869.1**	**-837.3**	**-806.7**	**-885.8**
Statistical discrepancy	-16.8	15.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
TOTAL FINANCING	**818.3**	**1,034.2**	**901.0**	**1,199.4**	**1,126.9**	**1,111.8**	**866.6**	**833.7**	**869.1**	**837.3**	**806.7**	**885.8**
Net Foreign Financing	**222.7**	**179.7**	**287.4**	**225.8**	**225.5**	**116.2**	**235.9**	**287.8**	**225.1**	**153.3**	**98.0**	**148.3**
Disbuserments	**760.5**	**527.0**	**627.6**	**899.6**	**564.5**	**529.0**	**674.7**	**674.7**	**639.3**	**639.3**	**685.0**	**634.3**
Commercial Financing	286.9	253.1	221.2	540.1	145.6	145.6	224.1	224.1	140.0	140.0	200.7	140.0
of which: External Debt Operations - Refinancing	0.0	188.3	0.0	143.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Project loans (AIA + Revenue)	155.8	151.4	211.2	224.6	227.0	191.6	258.8	258.8	307.5	307.5	292.5	302.5
o/w: Project loans (AIA)	68.3	65.6	86.5	100.5	100.8	75.3	123.3	123.3	140.3	140.3	135.3	145.3
Project Loans Revenue	87.4	85.8	124.6	124.2	126.2	116.3	135.6	135.6	167.2	167.2	157.2	157.2
Use of IMF SDR Allocation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
OPEC Funds	0.0	8.8	0.0	4.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Programme Loans	317.8	113.7	195.3	130.9	191.8	191.8	191.8	191.8	191.8	191.8	191.8	191.8
o/w: P for R Programme Loans	18.2	15.3	3.5	3.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
IMF - EFF/ECF/RSF	135.1	50.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
World Bank DPO	154.1	21.8	170.5	101.4	170.5	170.5	170.5	170.5	170.5	170.5	170.5	170.5
AfDB	0.0	26.3	21.3	26.0	21.3	21.3	21.3	21.3	21.3	21.3	21.3	21.3
Debt repayment - Principal	-537.8	-347.3	-340.2	-673.8	-339.0	-412.9	-438.9	-387.0	-414.2	-486.0	-587.0	-486.0
Net Domestic Financing	**595.6**	**854.5**	**613.5**	**973.6**	**901.4**	**995.7**	**630.8**	**545.9**	**643.9**	**684.0**	**708.7**	**737.4**
Memo items												
Gross Debt (Stock)	10,582.0	11,810.8	12,711.8	13,010.3	14,078.4	14,122.1	14,596.0	14,955.8	15,465.1	15,793.1	16,271.9	16,678.9
External Debt	5,171.7	5,484.8	5,772.3	5,710.7	5,965.1	5,826.8	6,250.0	6,114.6	6,475.1	6,267.9	6,573.1	6,416.3
Domestic Debt (gross)	5,410.3	6,326.0	6,939.6	7,299.6	8,113.3	8,295.3	8,346.1	8,841.2	8,990.0	9,525.2	9,698.8	10,262.6
Domestic Debt (net)	4,884.1	5,735.5	6,349.0	6,709.1	7,522.8	7,704.7	7,755.5	8,250.6	8,399.5	8,934.6	9,108.2	9,672.1
Financing gap	-62.2	15.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Nominal GDP	**15,633.0**	**16,904.9**	**19,272.8**	**18,642.5**	**20,947.4**	**20,816.8**	**23,126.1**	**23,126.5**	**25,527.4**	**25,649.5**	**28,158.0**	**28,345.7**

Source: The National Treasury